

HOW MUCH MONEY DO YOU NEED?

A few years ago I was a quiet power in the moneymaking system. Each year I passed judgment on the financial health of billions of dollars of balance sheet assets. I was what we called an “audit engagement partner.” That means that for my clients I had final authority and responsibility for signing the Peat Marwick name to the numbers we audited. In plain language, it means that no matter how many other partners might give advice and help, it was my personal ass that went squarely on the line behind the Peat Marwick name. If I made a mistake, we could be sued for millions. If I believed the numbers presented an unfair picture, I refused to sign the opinion. In that case, people could lose face, lose their jobs, or even lose their minds.

With that kind of pressure I kept a pretty sharp pencil. And in 1984 I decided to put that pencil to a different sort of task. I decided to check out how much money one needs to retire at age 35. How much money would my wife, Vicki, and I need to live off interest income for the rest of our lives?

I found that a net worth of as little as \$100,000 can be enough. That's *total* net worth, including home equity, IRAs, and cars. Retiring on \$100,000 is bare-bones retirement, and chapter 11 tells how to do it. Chapter 11 also discusses a recent Census Bureau report on wealth. The report implies that more than half the families in America may be within striking distance of \$100,000 of net worth.

But to retire on \$100,000 you have to be willing to make sacrifices. After a few years of retirement you may have to take on part-time work, for example. When I retired I refused to sacrifice anything important. I wanted to travel, keep up my hobbies, go to the theater, and go out to dinner. I wanted to do those things forever, not just for five years or so. How much money would I need for that?

I figure \$400,000 is enough, but that \$500,000 is more comfortable for most of us. Again, that's total net worth,